Champion Incentive Scheme. The proposed investments of Rs 45,016 crore and Rs 29,834 crore are for approved applicants under Champion OEM Incentive and Component Champion Incentive schemes, respectively. The idea is to attract manufacturing of those components in the global supply chain of the auto sector. "PLI is for five years. We are still under the Covid impact," says Deepak Jain, CMD, Lumax Industries, an auto component firm. "In the auto and auto component sectors, PLI will be on advanced technologies, purely looking at localising these technologies. Advanced technologies do have time since companies have to align themselves with the standard operating procedures of the customer." The direction that the government has set with the PLI is very critical and the new investments are coming in now, he adds.

PROMISES VS CONCERNS

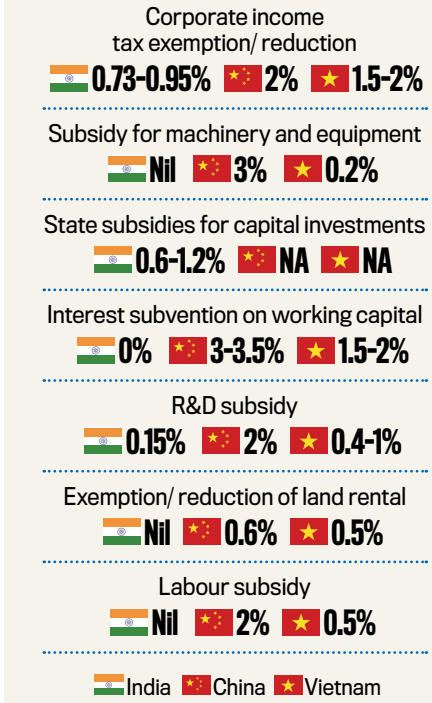
Raghuram Rajan was scathing in his attack while questioning the efficacy of the scheme, saying that Indian manufacturing, per the government's own admission, has a competitive disadvantage of 8.5-11 per cent on account of factors such as the lack of adequate infrastructure, the high cost of finance, inadequate availability of quality power, limited design capabilities, neglect of R&D and inadequate skills. "Since addressing these weaknesses will take time, the government wants a faster alternative," he said in the piece he co-wrote with research scholar Rohit Singh Chauhan.

Is PLI a faster alternative? "Admittedly, unless there was a short-term measure, it would be virtually impossible to shift global supply chains and manufacturing to India. It cannot be anybody's case that the 14 disabilities can be addressed in the short term, especially during the period when geopolitics is forcing global supply chains to shift, at least in part, away from China," says an industry insider. "If India had waited to address each of the problems that have been created over the past 65-70 years, this opportunity would simply shift to competing destinations such as Thailand, Mexico, Brazil, and even Vietnam."

At the end of 2014, after Nokia's Sriperumbudur factory was shut down, nearly 80 per cent of all smartphones in India were imported. Over the past eight years, due to a combination of the Phased Manufacturing Programme (incentivising the manufacture of low-value accessories by raising basic customs duty on their imports) and PLI schemes, 97 per cent of all phones sold in India are made here now. A combination of capex subsidy under the Modified Special Incentive Package Scheme, the Merchandise Export Scheme of India, state-specific incentives and the PLI scheme has hastened phone manufacturing activity. Currently, there are 268 factories, manufacturing mobile phones, chargers, battery packs, wired headsets and other components generating 700,000 jobs, per an industry estimate.

WOOING MOBILE PHONE MAKERS

HOW INDIA COMPARES WITH CHINA AND VIETNAM IN ATTRACTING MOBILE HANDSET MANUFACTURERS



Source: Kotak Institutional Securities

Rajesh Sharma, executive director and principal advisor, Indian Cellular and Electronics Association, says while the scheme for mobile phones has yielded satisfactory results, domestic players are facing challenges. There need to be incentives for electronic manufacturing services that were largely dependent on China. Of the five domestic companies, only two have succeeded so far.

According to the industry, the government needs to rethink its strategy—move away from import substitution to export promotion. Vietnam, for instance, has a slew of free trade agreements with a host of countries. Increased value addition also requires additional investment and production with access to global demand—much larger than India's domestic demand. China and Vietnam together account for about 72 per cent of global mobile phone exports. For India to climb up the value chain, the bureaucracy needs to speed up approvals and disbursal of financial incentives. Erratic and poor power supply has been cited as one of the reasons for additional costs. Also, rigid and archaic labour laws, high cost of capital and lack of adequate skills are some of the other impediments that India has to overcome to rebuild its manufacturing prowess. According to experts, PLI does not address the issue of the availability of funds or capital for starting new businesses. Since the subsidies are linked to incremental sales, it does not take into account business uncertainties regarding future cash flows. Overall, while the scheme could influence big, existing players to add and expand capacity, its impact on building new entrepreneurial ventures is unclear.

PLI is good in its intent, but its success will depend on the nitty-gritty and the implementation. As a Mumbai-based fund manager explains, for India to go up the value chain, it needs to begin somewhere. A start has been made, but the push must accelerate before the country ends up missing the opportunity of this decade. ■